

the clients' financial objectives—resulting in poor relationships. The primary benefit that behavioral finance offers is the ability to develop a strong bond between client and advisor. By getting inside the head of the client and developing a comprehensive grasp of his or her motives and fears, the advisor can help the client to better understand why a portfolio is designed the way it is and why it is the “right” portfolio for him or her—regardless of what happens from day to day in the markets.

NOTES

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